NOMURA

JPY Flow Special Report

Global Markets Research
9 August 2024

Foreign Exchange - Global

Sharp fall in USD/JPY and investors' reactions

Our main and risk scenarios of capital flows by type of Japanese investor

- *The significant fall in USD/JPY over the past several sessions has been much more volatile and faster than the price action on the way up.*
- *Consequently, there's a growing view in the market that this rapid pace of decline in USD/JPY may alter Japanese onshore investors' sentiment and trading activities.*
- *In this piece, we summarize our views on Japanese investors' foreign investment flows by type of investor, and have assessed whether there are potential FX flows that may trigger another strong move lower in USD/JPY from here.*
- ***Our key takeaway** is that we don't expect overall Japanese investors' flows to intensify the move lower in USD/JPY, for the time being.*
- *We believe USD/JPY isn't yet at a level that will make lifers, exporters and retail investors increase pressure on USD/JPY to the downside. By contrast, pension funds' rebalancing flows are likely to partly offset recent JPY strength.*
- *The largest risk to our view is if the fall in USD/JPY continues, as concerns over a US recession increase. In such an event, we cannot rule out a scenario, in which Japan's aggregate onshore flows further push the pair lower.*

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Fig. 1: Summary of Japanese investors' FX flows, reflecting sharp USD/JPY movement, by scenario

We don't expect overall Japanese investors' flows to intensify the move lower in USD/JPY, for the time being, while risks exist for each investor type.

Type of Investor	Sceario	Impact on the JPY	Brief Summary
Life Insurance Companies	Main	Neutral or modestly JPY positive	FX hedge ratio is unlikely to rise soon, but possibly modest selling of unhedged foreign bonds.
	Risk	JPY positive	Lifers raising their FX hedge ratios aggressively.
	Catalysts for risks	-	Further deterioration in sentiment toward US economy, increasing risks of global economy entering a recession, a continued fall in USD/JPY, large policy rate cuts by foreign central banks.
Pension Funds	Main	Near-term JPY negative	Japanese pension funds are likely to continue rebalancing their portfolios, and we estimate there's potentially JPY4.7trn ($32bn) of yen selling flows, should the GPIF rebalance its portfolio.
	Risk	Near-term JPY positive Long-term uncertain	The GPIF not strictly rebalancing its portfolio investment, in preparation for possible changes in its basic portfolio allocation, which is planned to be released by April 2025.
	Catalysts for risks	-	The MOF's monthly capital flow data of Japanese trust accounts or pension funds suggest no rebalancing occurring, pre-announcements from the GPIF about the basic portfolio changes.
Investment Trusts	Main	Relatively JPY positive	Slower pace of foreign equity buying under the new NISA scheme, reflecting the decline in global stock prices.
	Risk	1) JPY negative 2) JPY positive	Two risks: 1) retail investors buying foreign equities on dips, once the global market sell off subsides; 2) retail investors start selling foreign EQs held in their NISA accounts, and moving their capital into cash savings.
	Catalysts for risks	-	Global market risk sentiment developments, changes in Japanese households' risk appetite.
Exporters	Main	Modestly JPY positive	Some exporters may have already sold their USD to take profits, but this selling is unlikely to persist at the current level of USD/JPY.
	Risk	JPY positive	Local exporters becoming aggressive in USD selling, against a backdrop of increased anxiety on the faster paced global growth slowdown.
	Catalysts for risks	-	USD/JPY starts to deviate more from corporates' assumed FX level, further JPY appreciation seriously starts to adversely affect their expected profits.
Retail FX Investors	Main	JPY negative	Maintain contrarian type of investment by buying USD/JPY and cross-JPY on dips.
	Risk	JPY positive, with a sharp appreciation risk	Becoming momentum followers of the USD/JPY, knock-on margin calls by retail investors hitting their stop losses.
	Catalysts for risks	-	One-sided moves in the currency, margin calls of Japanese retail investors' net FX positions.

Note: JPY positive = stronger or appreciation of JPY; JPY negative = weaker JPY or depreciation of JPY
Source: Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Introduction

USD/JPY has moved about 20 big handles from mid-July to present. There's been many events during this period that triggered and/or amplified JPY's appreciation: the US CPI miss, very likely JPY buying interventions by the MOF, the correction in US tech stocks, the BOJ rate hike to 0.25%, followed by a significantly large fall in Japanese equity prices, Fed's Chair Powell hinting at a September rate cut, and a relatively large downside surprise in the US jobs report.

That said, the shortest way to summarize the sequence of the aforementioned market events is that the massive unwind in the yen carry trade largely drove the significant decline in the USD/JPY, in our view. Since the beginning of the year, USD/JPY had started to diverge from nominal rate differentials across different tenors, and the gap had widened even further, especially in Q2 2024 (*Fig. 2*). For the market to increase carry trades in a low market volatility environment is very reasonable, and the extension of net JPY short positions was also evident from CFTC data (*Fig. 3*).

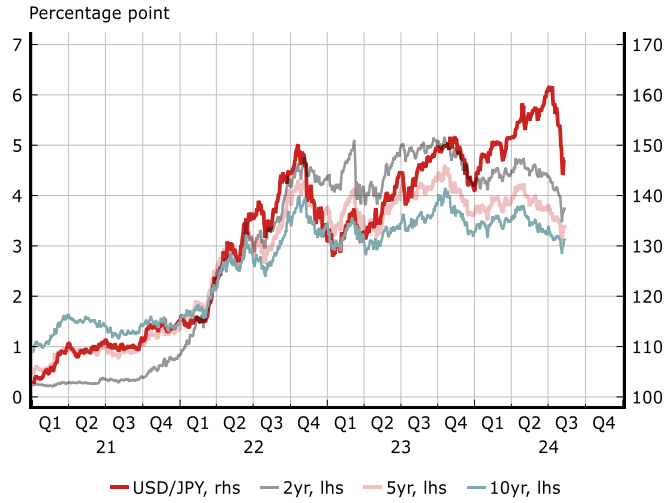
However, nothing lasts forever, and as a result, market volatility increased, JPY's net short position was quickly unwound. We estimate that 80% of the net short position in the yen carry trade has been squared, which compares with the largely stretched net short position in early July 2024, and about 20% of that short yen position still exists.

With the yen carry position having been unwound to a significant extent, we now think it's worth monitoring capital flows and FX transaction flows of Japanese investors, gauging the potential for further JPY appreciation. In fact, Japan's current account continues to register a surplus of about JPY2trn per month or about 4% of Japan's GDP, when annualized (*Fig. 4*), indicating that Japan's structure of foreign currency inflows into the country is maintained (although, whether that foreign currency actually flows back into Japan is another matter). In addition, Japan has over $3trn in net foreign credits, the largest in the world (*Fig. 5*). If these flows were to unwind, it would likely result in even greater yen buying flows than the unwinding of the carry trade.

However, there are many types of Japanese investor, and it is difficult to lump them all together. Therefore, in this report we aim to provide readers with some insight into the investment actions and FX transactions that each investor may take in the future, reflecting the JPY's recent appreciation. In this report, we summarize the main scenario of how the five types of Japanese market participants will behave after the latest yen surge, and list possible risk scenarios and catalysts for that cause those risks to materialize.

Fig. 2: The wide gap between USD/JPY and rate differential has recently narrowed significantly

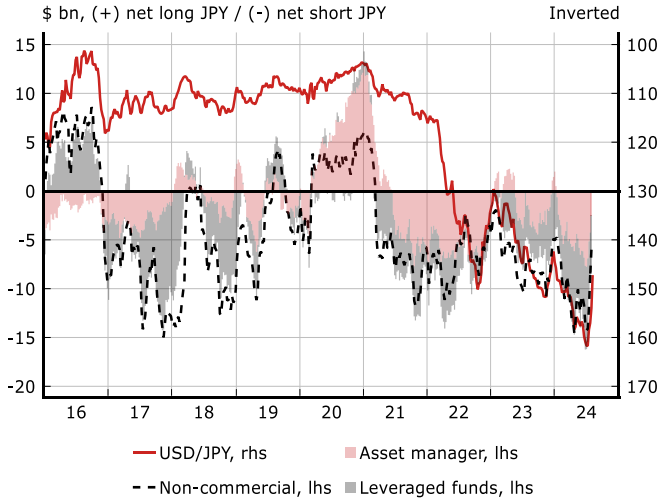
USD/JPY and nominal sovereign yield differential by tenor



Source: Bloomberg, Nomura

Fig. 3: Net JPY short position have largely unwound, but we believe there's a little more left

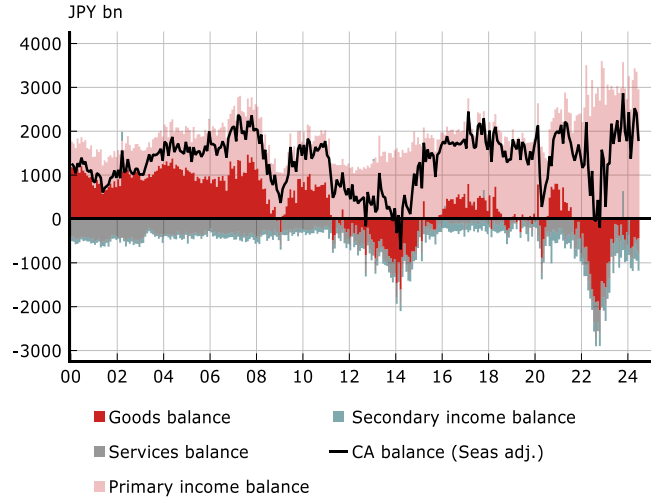
Net JPY position in CFTC data and USD/JPY



Source: Bloomberg, Macrobond, Nomura

Fig. 4: Japan's structure of foreign currency inflows into the country is maintained

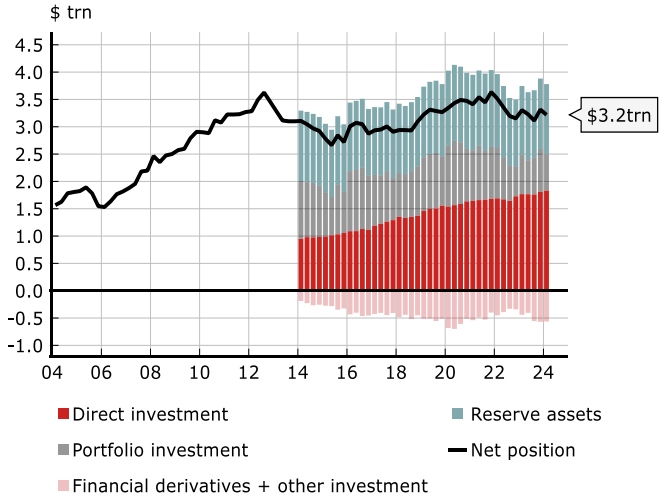
Japan's current account balance (SA)



Source: Macrobond, Nomura

Fig. 5: Japan is the world's largest net creditor

Japan's net international investment position



Source: Macrobond, Nomura

Life insurance companies

Main view

- ***Basically neutral impact on JPY for now, though some JPY buying flows related to net sales of unhedged foreign bonds by a few lifers are possible.***

In our base case, we don't expect Japanese lifers to push USD/JPY and JPY-crosses lower by large, as their foreign bond exposure already declined markedly in 2022. Based on net cumulative flows since 2005, Japanese lifers had accumulated foreign bond holdings of JPY30trn; however, they have mostly reduced their holdings by more than half since the pandemic, especially in 2022 (*Fig. 6*). Thus, they likely have significantly less reason to decrease their foreign bond exposure than in the past. Elsewhere, their foreign equity and investment fund buying has also been less active than from 2016 to 2021.

Rather than net sales of foreign securities, we expect Japanese lifers' focus to shift more to JGB investment, particularly at the super long-end of the curve. At the start of the financial year major Japanese lifers had a solid appetite for domestic bond investment. While the continued sell-off in 30yr JGBs since then has likely discouraged them from increasing their exposure in Q2 (*Fig. 7*), the strong rise in yields settling down for the time being might encourage them to restart adding domestic bond exposure at a consistent pace.

That said, we are not expecting lifers to be aggressive buyers of JGBs, as they may have mostly accomplished their buying of super-long JGBs to comply with the new solvency regulations that take effect in FY2025. Therefore, we expect their super long-term JGB buying to be at a steady pace and size.

In this regard, repatriation flows by Japanese lifers are unlikely to materialize in earnest. However, a few major Japanese lifers have shown a positive stance on buying unhedged foreign bonds in FY2024, *according to their investment plans* for the financial year, which were released late-April 2024. So, there could be some JPY buying flows when these lifers start to net sell their foreign bonds, though we think they are likely to be temporary flows to limit FX valuations losses, rather than structural portfolio reallocations.

Risk scenario

- ***Lifers raising their FX hedge ratios aggressively.***

The major risk to our base case will be when Japanese lifers start putting on FX hedges aggressively. As *major lifers' FX hedge ratios have historically been low* (*Fig. 8*) and JPY's appreciation has been rapid recently, we cannot totally rule out the possibility that

Japanese lifers will hedge their currency risks going forward.

However, we note there are two strong counter-arguments to the view on lifers adding FX hedges:

1. **FX hedging costs** remain elevated for Japanese investors, as the policy rate differential between Japan and overseas has not narrowed by large yet. In fact, in 2007, when the Fed started its policy rate cutting cycle (and initially cutting by 50bp), lifers didn't aggressively FX hedge yet. Rather, they substantially increased their hedge ratio in 2008-09, when the Fed's policy rate was close to zero (*Fig. 8*).
2. **The level of USD/JPY** is still higher than the average assumed exchange rate by end-March 2025 among the major lifers (*Fig. 9*). The sharp fall in USD/JPY may have prompted them to consider hedging their currency risks, but a further decline in USD/JPY appears necessary for fully-fledged hedging. The same applies to EUR/JPY.

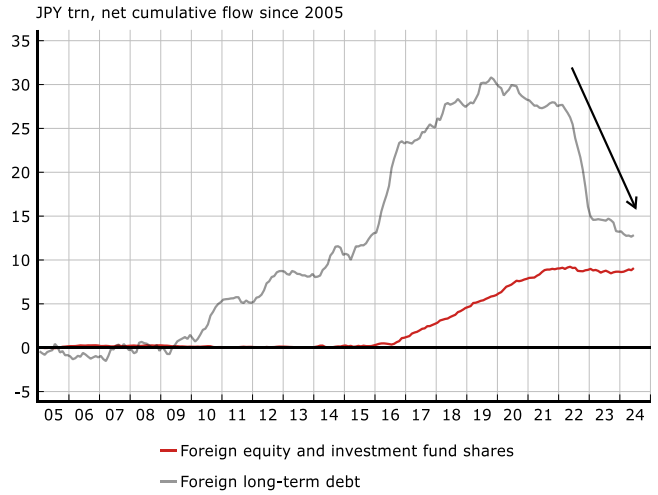
Nevertheless, if JPY's appreciation continues at its fast pace USD/JPY and/or EUR/JPY are likely to breach the assumed exchange rate and/or if foreign central banks deliver somewhat large policy rate cuts, then the barriers for lifers' FX hedging will likely be lowered. As an example, Japanese lifers' FX hedge ratio rose significantly during the GFC. Political uncertainty into the US election could lead to a higher FX hedge ratio too.

Catalysts for the risk

Further deterioration in sentiment toward the US economy, the continued fall in USD/JPY, large rate cuts by the foreign central banks.

Fig. 6: Japanese lifers' foreign bond exposure has more than halved since the pandemic

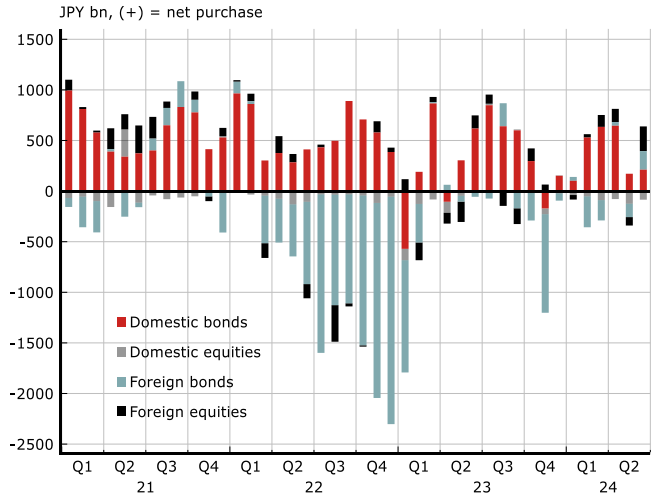
Net cumulative foreign securities purchase flow since 2005



Source: Macrobond, Nomura

Fig. 7: We expect a pick-up in doemstic bond buying in Q3 2024 onward, although with a constant pace and size

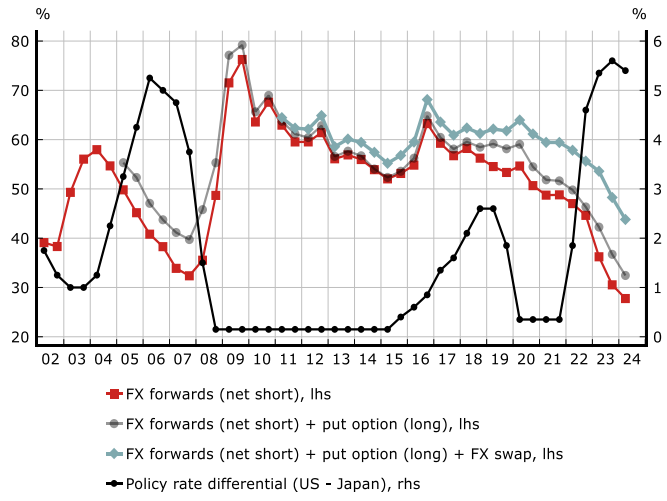
Japan's insurance companies' securities investment flows



Source: Macrobond, Nomura

Fig. 8: A significantly low Fed policy rate might be needed for Japanese lifers to increase their FX hedge ratios

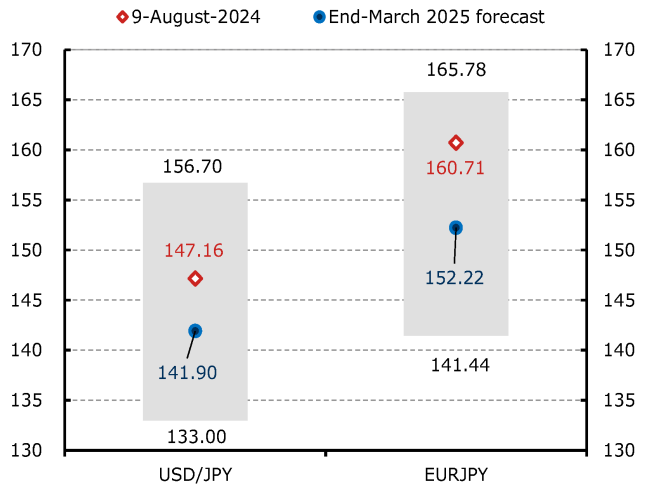
Japanese major lifers' FX hedge ratio and policy rate differential (US-Japan)



Source: Major lifers' earnings report, Macrobond, Nomura

Fig. 9: Lower USD/JPY and EUR/JPY at end-FY 2024 expected by major lifers

Major lifers' USD/JPY and EUR/JPY forecast range



Note: Average of 10 major lifers' forecasts.
Source: Nomura, Bloomberg, Reuters, Nikkei-Quick, insurance companies

Pension funds

Main view

- ***JPY selling flows are likely from Japan's largest pension fund in the near term, but the fund is mainly rebalancing its portfolio. We expect Japanese pension funds to continue their rebalancing activities, in which their flows will likely counteract the fall in USD/JPY.***

In our base case, we expect Japanese pension funds to continue portfolio rebalancing to maintain asset weightings for each asset class close to the strategic asset allocation target. This has been the case for the GPIF over the past few years, as it updated its basic policy portfolio in April 2020 (*Fig. 10*). Moreover, *the latest investment result for April-June 2024*, released on 2 August, confirmed its investment style has maintained its status quo.

However, this doesn't mean the GPIF's flows will be FX neutral. Rather, we view that the potential rebalancing flows by the GPIF, owing to recent market developments, will be net JPY negative. Specifically, *we estimate there will be net JPY4.7trn in yen-selling flows*, as the fund is likely to sell a reasonable amount of domestic bonds in order to buy domestic equities and foreign equities (*Fig. 11*). One caveat for this potential flow is that for this yen selling of almost JPY5trn to materialize, the GPIF effectively needs to sell domestic bonds, which will be a difficult decision for the fund, if the volatile moves in super long-term JGBs continue.

In terms of the GPIF's currency hedging exposure, we believe it will remain significantly low. As of end-March 2024, we estimate that the share of the fund's FX hedging exposure to its AUM was 0.5%, basically almost flat from the previous year's 0.9% (*Fig. 12*). Moreover, this share hasn't changed in the past few years. The GPIF announced that it will start doing FX forwards trading from FY2024; however, the fund's CIO, in February 2024, said that this is intended to improve the efficiency in balancing and is targeted for very short-term period (source: GPIF). Therefore, the GPIF's FX hedging ratio is very unlikely to increase markedly, in our view.

Risk scenario

- ***The GPIF not strictly rebalancing its portfolio investment, in preparation for possible changes in its basic portfolio allocation.***

Our risk scenario, is the GPIF's investment activity suddenly changes without portfolio rebalancing flows. As explained above, the GPIF's asset weightings have been close to

25% for each asset class over recent years, so we believe the likelihood of the GPIF suddenly changing its investment behavior is low. Moreover, there have been no comments from the GPIF president regarding a possible change in investment strategy.

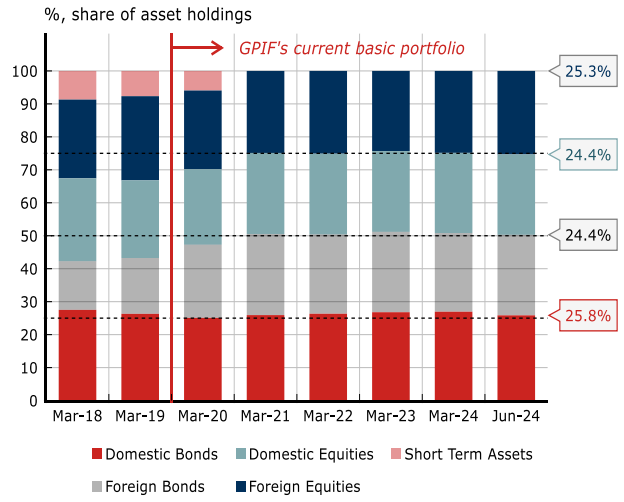
However, the possibility of a change is not zero, as the GPIF may start preparing for a new basic policy portfolio, which is likely to be released by April 2025. In fact, in light of the experience of October 2014 and April 2020, when the GPIF announced previous changes in its basic policy portfolio, there were changes in asset weightings months before the official announcement (*Fig. 13*). But nevertheless, it is difficult to forecast at this point whether the GPIF will change its asset allocation, as there have been very few clues so far, so there is no specific catalyst we can track to gauge the possibility of this risk scenario materializing.

We need to monitor monthly flow data and any media reports on the possible direction of the new basic portfolio closely.

Catalysts for the risk: The MOF's monthly capital flow data of Japanese trust accounts or pension funds suggest no rebalancing occurring; pre-announcements from the GPIF about the basic portfolio changes.

Fig. 10: GPIF has maintained the status quo in its asset weightings

Share of the GPIF's asset holdings



Source: GPIF, Nomura

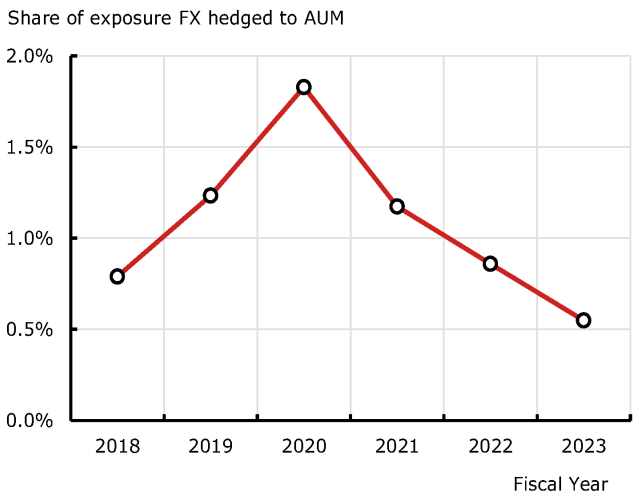
Fig. 11: The recent market price actions likely encouraged the GPIF to be over-weight in domestic bonds

GPIF's portfolio (Nomura's estimate) and current policy portfolio

		Domestic bonds	Foreign bonds	Domestic stocks	Foreign stocks
Actual	end Sep 2023	26.6	24.2	24.5	24.7
	end Dec 2023	25.8	24.4	24.7	25.1
	end Mar 2024	26.9	23.9	24.3	24.9
	end Jun 2024	25.8	24.4	24.4	25.3
(a) Assuming 50% of trust account's net purchase was by GPIF					
Estimate	**latest (a)**	*28.0*	***25.0***	*23.0*	***24.0***
(b) Assuming 75% of trust account's net purchase was by GPIF					
Estimate	**latest (b)**	*28.0*	***25.0***	*23.0*	***24.0***
(c) Assuming 100% of trust account's net purchase was by GPIF					
Estimate	**latest (c)**	*28.0*	***25.1***	*23.0*	***24.0***
Policy portfolio					
Current	**Target**	**25**	**25**	**25**	**25**
	Deviation limits	**+/-7%**	**+/-6%**	**+/-8%**	**+/-7%**
		+/-11%		**+/-11%**	
Previous	*Target*	*35*	*15*	*25*	*25*
	Deviation limits	*+/-10%*	*+/-4%*	*+/-9%*	*+/-8%*

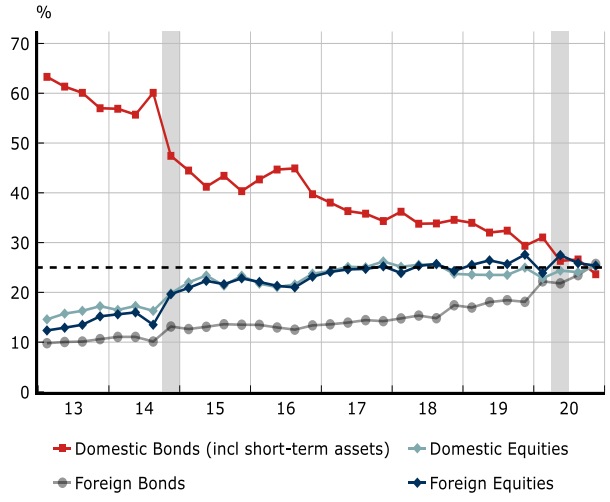
Note: Calculation based on the GPIF's portfolio weight as of end-June 2024, Japanese pension funds' total securities investment in Q3, and changes in the benchmark indices from June to current.
Source: Nomura, GPIF, MOF, JSDA, JPX, Bloomberg

Fig. 12: Share of the GPIF's FX hedged exposure to its AUM



Note: An estimation using the GPIF's AUM by institution managing the GPIF's pensions assets.
Source: GPIF, Nomura

Fig. 13: Allocation of pension reserve from 2013 to 2020



Source: GPIF, Nomura

Investment trusts

Main view

- ***Likely to be relatively JPY positive, as the pace of foreign equity buying under the new NISA scheme will likely slow, reflecting the decline in global stock prices.***

Japanese investment trusts' foreign equities buying has significantly accelerated since the start of the year, and this is no doubt related to Japanese retail investors' foreign equity purchase flows under the new NISA-scheme (*Fig. 14* , *Fig. 15*).

The strong global equity price performance until mid-July strongly encouraged onshore retail investors to continue shifting their savings into foreign assets, especially US equities and investment funds. However, market price action since mid-July has been a large headwind to them, and in fact the latest net capital flows into Japan's 10 largest foreign equity investment trusts have started to soften, with a notable decline in purchases from late July.

Because of this we may see weaker net inflows into foreign equities continuing for the time being, and as a result, and we expect this to ease JPY selling by Japanese retail investors.

Risk scenario

Retail investors buying foreign equities on d ips, once the global market sell off subsides; 2) retail investors start selling foreign equities held in their NISA accounts, and moving their capital into cash savings instead.

There are potentially two risk scenarios, for which both will hinge on global market risk sentiment.

1. If risk sentiment stabilizes quickly, and the market gradually restarts yen carry trades, then this will, in our view, be an optimum opportunity for retail investors to restart strongly increasing their foreign equity exposure.
2. But by contrast, if there is a continued sharp deterioration in sentiment, then we cannot totally rule out the possibility of Japanese retail investors selling some of their assets in their NISA accounts.

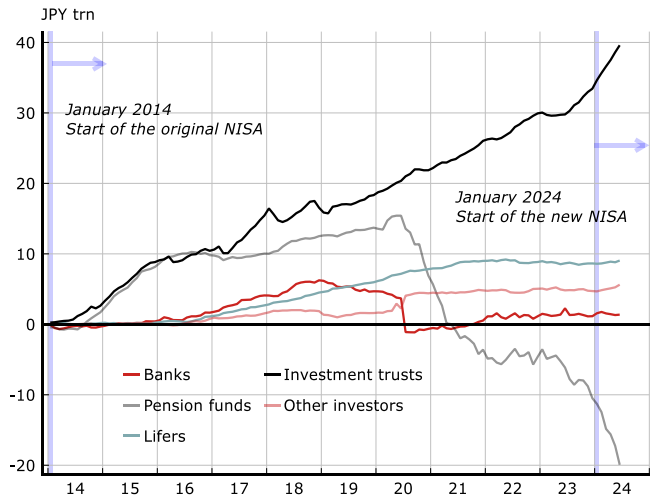
We believe the former risk scenario is more likely than the latter, as investments via NISA are aimed at the medium- to long-term investment horizon, with no strong incentive to frequently trade the assets. Specifically, losses incurred in NISA accounts cannot be offset against profits in other specified accounts, and there are annual quotas on a gross purchases basis, so the structure is not suitable for short-term trading.

But having said that, as there are no strong restrictions on asset holding periods for NISA, there could be panic selling by some individuals in flight-to-quality behavior to exchange their securities into cash savings. In fact, from 6-8 August (the latest data set as of writing) confirmed there were net capital outflows from the top 10 NISA-eligible funds (*Fig. 17*). Even if they do not liquidate their exposure to foreign assets via NISA, momentum in new investment will be less strong, if risk sentiment stays weak.

Catalysts for the risks: Global market risk sentiment developments, changes in Japanese households' risk appetite.

Fig. 14: New NISA tax-free investment scheme contributed to an acceleration in retail investors' foreign equity buying

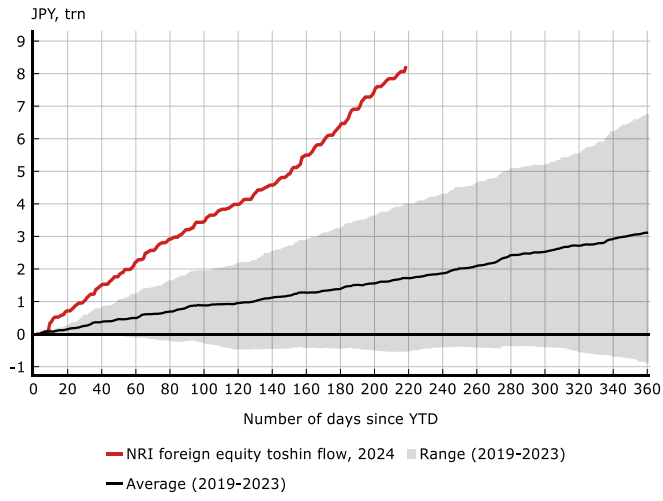
Net cumulative foreign equity investment by type of Japanese investor



Note: Net cumulative sum since January 2014.
Source: Macrobond, Nomura

Fig. 15: Japanese retail investors likely net bought about JPY8trn of foreign equities since YTD

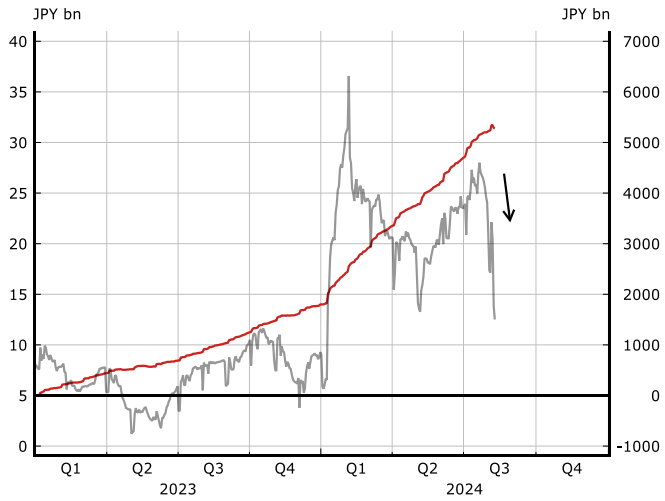
Capital inflow into foreign equity investment trusts



Source: Nomura Research Institute, Nomura

Fig. 16: But there's recently a slowdown in NISA flows

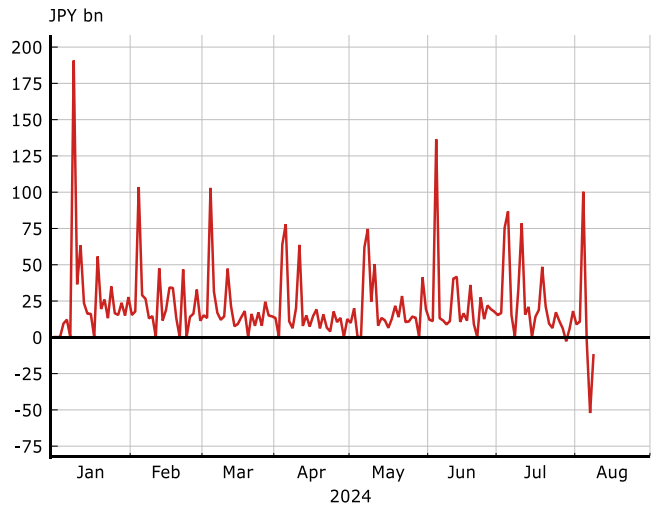
Net capital flow into top 10 NISA-eligible funds



Source: Macrobond, Bloomberg, Nomura

Fig. 17: Especially, we've confirmed relatively large net capital outflows from top 10 NISA-eligible funds in August

Net capital flow into top 10 NISA-eligible funds



Source: Bloomberg, Macrobond, Nomura

Exporters

Main view

- ***Some USD selling by onshore exporters for profit-taking may have materialized already, but it's unlikely to be persistent.***

As there are a wide variety of Japanese exporters, there are limitations on simplifying and discussing Japanese corporate behavior. However, recent price action data in USD/JPY, which has fallen during Tokyo trading sessions more than in London and NY sessions (*Fig. 18*), suggest some exporters may have started to sell their USD to lock in their profits in JPY.

However, we don't expect exporters to be in a rush to sell their foreign currencies persistently. This is because the assumed USD/JPY exchange rate for overall businesses in Japan is around 145, according to the BOJ's June 2024 Tankan, meaning the spot rate has now fallen to the companies' expected exchange rate level (*Fig. 19*).

In such a situation, Japanese companies may become concerned about the pace of the fall in the exchange rate; however, they are unlikely to change their medium-term business decisions yet. On top of this, as explained above, FX hedging costs for Japanese onshore investors remain punitive, so we doubt that the majority of exporters will have decided to put on FX hedges.

Risk scenario

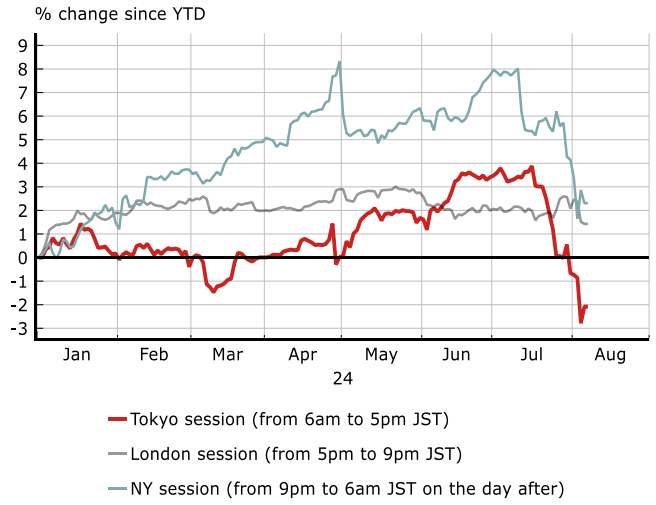
- ***Local exporters become aggressive in JPY buying and USD selling, as the pace of the global economy slowdown increases.***

The risk scenario will be that the aforementioned JPY demand by exporters significantly increases. If USD/JPY continues to fall from its current spot level, and starts to deviate more from corporates' assumed exchange rate level, this should seriously start adversely affecting their expected profits. In particular, if this is aligned with a faster pace of global economic slowdown, then exporters' USD selling could become larger than the current level. This will also hinge on Japan's economic growth developments, as relatively better growth domestically will encourage the exporters to repatriate their cash saved in overseas.

Catalyst(s) for the risks: USD/JPY starts to deviate more from corporates' assumed exchange rate level, seriously starting to adversely affect their expected profits.

Fig. 18: USD/JPY's large fall tends to occur during Tokyo sessions, and this suggests local exporters are partly engaged

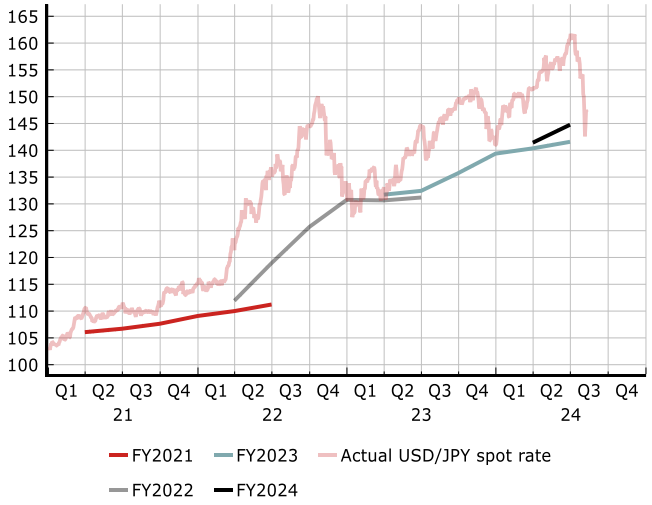
YTD change in the USD/JPY by trading hours



Source: Bloomberg, Nomura

Fig. 19: Assumed USD/JPY exchange rate for overall Japanese business is around 145

Japanese companies' assumed USD/JPY rate and USD/JPY spot rate



Source: BOJ, Bloomberg, Nomura

Retail FX investors

Main view

- ***Maintain contrarian type of investment by buying USD/JPY and cross-JPY on dips.***

Japanese retail FX investors (a.k.a Mrs. Watanabe) are well-known as contrarians, meaning they tend to trade against the direction of the spot FX move. Their tendency hasn't changed, and this can be confirmed from some OTC and FX futures exchange data, which indicate that they have been buying USD/JPY since the continued fall began on 11 July (*Fig. 20*).

In this regard, retail investors' FX flows will likely work to limit JPY strength, although their ability to tame the move appears to be limited. This is because the size of Japanese retail FX investors' net margin call position at OTC has been less than it used to be. Also, they've been contrarians in 2023-2024; however, their flows did not dominate the global FX flows that drove USD/JPY largely higher.

Risk scenario

- ***Becoming momentum followers and/or knock-on margin calls by retail investors hitting their stop losses eventually, causing sharp JPY appreciation.***

Instead, their flows may intensify the move lower in USD/JPY, once they start to become momentum followers. This change in their trading behavior was evident in 2022, when USD/JPY moved up significantly from 115 to 150.

We don't have a strong view on the threshold level for them to change their behavior, but believe the 35 big handle rise in 2022 likely made them momentum followers, so we cannot rule out them becoming so again, if USD/JPY approaches 127 on the way down (i.e. roughly 35 big handles lower from the recent high 161.81).

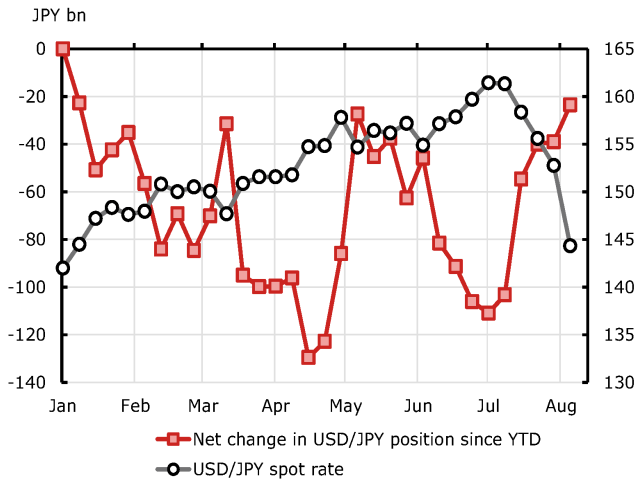
Elsewhere, we should pay close attention to sharp JPY appreciation potentially triggered by retail investors hitting their stop loss levels. One good example is the flash crash on 3 January 2018, when the JPY appreciated very sharply against the USD for a few minutes around the open of the Asian trading session.

That said, the position sizes of most EM-JPY pairs have fallen, of which the notable one is the net long MXN/JPY positions (*Fig. 21*). Also, the retail investors' gross turnover these days has largely increased, suggesting they are better able to manage their positions quicker than they used to be. Therefore, the risk of a sudden position unwind by retail investors is not large at the moment.

Catalyst(s) for the risks: One-sided moves in the currency; margin calls of Japanese retail investors' net FX positions

Fig. 20: Price action of the USD/JPY in 2024 suggests Mrs. Watanabe remain contrarian type of investors

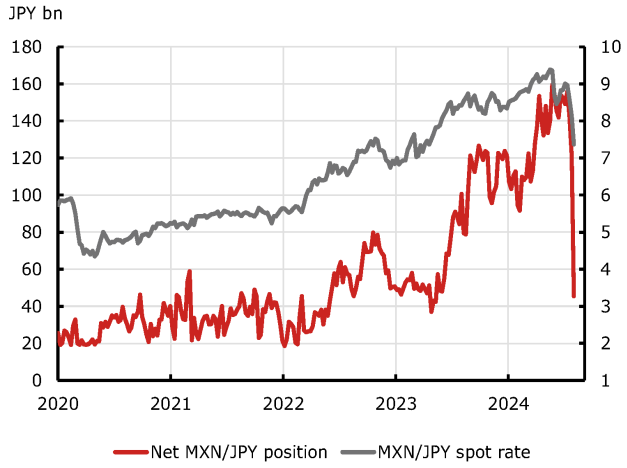
Net change in USD/JPY's margin trading positioning at Tokyo Financial Exchange since YTD and USD/JPY spot rate



Source: TFX, Bloomberg, Nomura

Fig. 21: A large position unwinding in net long MXN/JPY

MXN/JPY's margin trading positioning at TFX and MXN/JPY spot rate



Source: TFX, Bloomberg, Nomura

Appendix A-1

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When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.
When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For JI17 and subsequent issues, the maturity value shall not undercut the face amount.
Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.
Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.
In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.
In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors.
Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

Nomura Securities Co., Ltd.

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